The paradoxes of **SUCCESS**

Organisations are now required to balance a number of seemingly conflicting agendas.

Executives really want to build effective organisations, no doubt about it. They care about their organisations' success and about the people who work for them. This is why they repeatedly try new ideas such as TQM, BPR, empowerment, flattening, self-directed teams. They are repeatedly frustrated when nothing seems to make much of a difference.

Meanwhile, people get cynical when their leaders experiment with a seemingly disjointed series of changes, each of which are implemented half-heartedly and does little good. Responding to the challenges of a tough business environment is not just a matter of working harder or more efficiently. Hidden within the expectations are a number of paradoxes that force leaders to rethink the way organisations work.



FROM EGYPT

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Consider the following examples:

1. DIVERSITY AND INTEGRATION

To offer a broad range of products amidst the burgeoning complexity of technologies, organisations must draw together experts in a far broader range of disciplines than ever before. In spite of this diversity, organisations must also integrate the various technological components into a coherent product line. These two pressures are diametrically opposed. The more diverse the technologies, the tougher it is to integrate them.

2. INTEGRATION AND RESPONSIVENESS

Organisations are expected to offer an integrated product or service. The commonly suggested answer to the need for integration is a top-down "plan" that designs the entire product line or service all at once.

To do this, organisations scan the range of technologies and narrow them down to a subset that can be integrated. At the same time, organisations are expected to deliver strategic value to their clients. Strategic solutions are, by necessity, tailored (customised) to fit a particular client which has a unique mission and a unique business problem.

But top-down plans only address problems which everybody in the company or the market shares. Since only administrative challenges are common to everybody, top-down plans rarely result in products tailored to clients' specific strategic opportunities.
Furthermore, long-term plans do not respond to clients' rapidly changing business strategies. Yet, without planning, it is difficult to integrate an organisation's various products.

Organisations are expected to integrate diverse technologies, and simultaneously offer clients

strategic solutions tailored to their unique, here-and-now needs. Again, these objectives appear paradoxical.

3. SAVING MONEY AND INVESTING

There is another paradox inherent in the focus on strategic value. Clients expect solutions that directly contribute in significant ways to their missions and the key business imperatives of the company (strategic value), rather than just indirectly through administrative cost savings. Yet, simultaneously, clients often question the return on investments in the organisation's products. Their concern is natural. Success requires careful cost control, often steering people away from investments in lucrative areas of strategic opportunity (a false economy).

How can people view an organisation's products as strategic, and at the same time consider it a target for cost-reduction?

4. BUSINESS-DRIVEN AND TECHNOLOGY-DRIVEN

Many organisations traditionally have been rich with technology gurus, but weak on business experts. The need for a focus on technology has not diminished. Organisations must be leaders in technology to generate new product opportunities. In fact, the need for technical excellence is greater than ever in the face of growing technological complexity and pace of change. At the same time, organisations must be business-driven not technology-driven in their approach to clients. They must provide insights into the strategic use of their products, and design tailored solutions after fully understanding clients' business needs. Without significantly expanded business skills, the promise of strategic value will be elusive.

Paradoxically, organisations must be both business-driven and technology-driven. These two very different perspectives require different skills and different kinds of people.

SUCCESS REQUIRES A CAREFUL BALANCE OF CONFLICTING FORCES, AND DYNAMIC PROCESSES THAT CONTINUALLY ADJUST THE BALANCES.

5. CHANGE AND STABILITY

Organisations must continually invent new products and manufacturing techniques. At the same time, they must keep existing operations stable and support existing customers efficiently. The invention process inevitably disrupts the smooth operations that benefit from stability. For this reason, it is quite rational for people who are responsible for stable operations to resist the fundamental changes brought about by new inventions. Somehow, organisations must be both inventive and stable.

NO ESCAPE

As impossible as they might seem, these expectations represent the reality of today's business pressures. To survive in a competitive world, organisations cannot afford to fail at any of their often-conflicting missions.

Doing more of the same, somewhat more quickly and efficiently, will not address these paradoxes. Characteristically different organisational processes are needed to both pursue excellence in each area of endeavor, and, at the same time, to continually adjust the balance of numerous paradoxical forces. ■

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